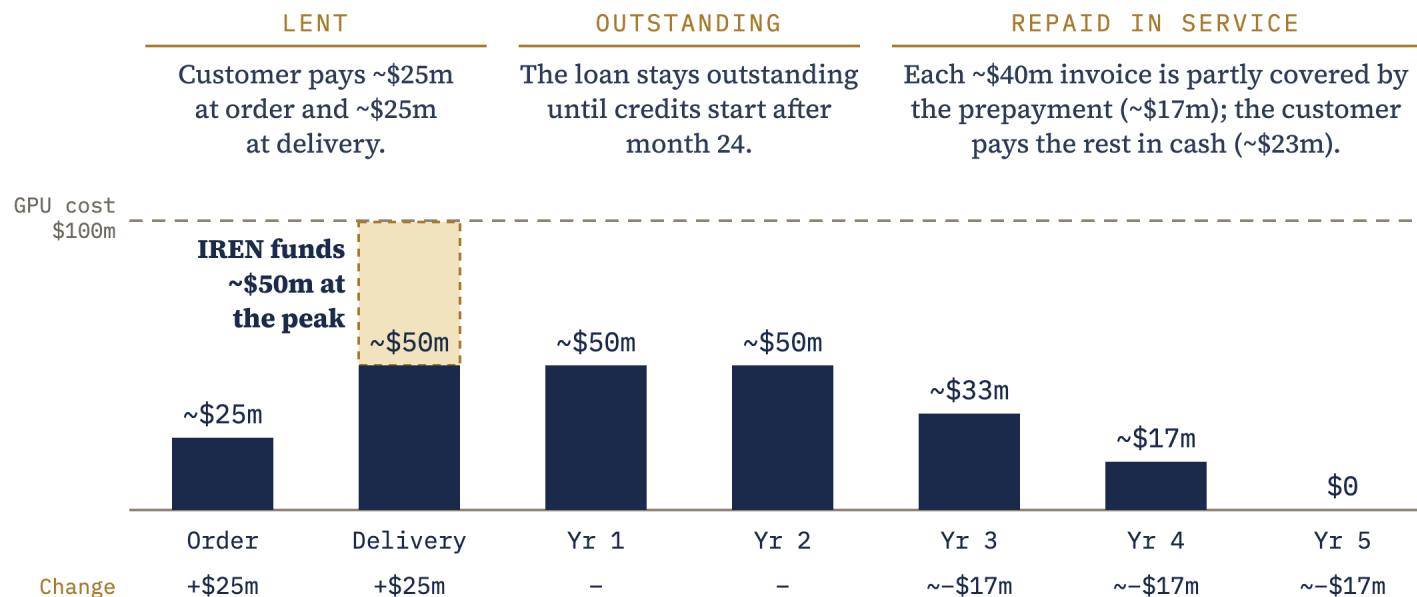


A prepayment is a loan from the customer, repaid in service.

01 • ILLUSTRATIVE \$100M GPU PURCHASE • THE CUSTOMER'S PREPAYMENT OUTSTANDING, \$M



Not free financing. IREN owes delivery on schedule (delay credits and termination rights apply), and any cost of the loan may sit in contract price or terms.

ACCOUNTING • EACH TRANCHE

Cash and a contract liability (deferred revenue) both rise. No debt, and no revenue until service begins.

ACCOUNTING • YEARS 1-2

Cash and revenue are each ~\$40m a year, so the liability holds at ~\$50m.

ACCOUNTING • YEARS 3-5

Revenue stays ~\$40m a year, but cash is ~\$23m: ~\$17m of each invoice is covered by the prepayment, so the liability falls.

TAKEAWAY

Prepayments ease the build-phase funding gap and shift who funds it, but they don't reduce the cost of the build. They only come with signed contracts.

02 • WHAT IREN HAS DISCLOSED

~45–55%

OF GPU CAPEX CONTRACTUALLY PAYABLE IN ADVANCE OF SERVICE, RECENT CONTRACTS (FY26 RESULTS, 27 AUG 2026)

20%

OF CONTRACT VALUE PREPAID BY MICROSOFT, CREDITED AGAINST INVOICES IN YEARS 3-5 (8-K, 3 NOV 2025)

~\$1.8bn

DEFERRED REVENUE AT 30 JUN 2026, MOSTLY ADVANCES ON CAPACITY NOT YET STARTED (10-K FY2026)

Illustrative, not a forecast: \$100m of GPUs paid at delivery, ~\$40m a year of service invoices for five years, no interest, operating cost, tax or discounting (IREN's 10-K reports nil interest on significant financing components in FY2024–26). Yr n = end of contract year n. Sources: IREN FY26 results (27 Aug 2026); IREN 8-K (3 Nov 2025); IREN Form 10-K FY2026. Not affiliated with IREN. The author holds no position in IREN.